TEACHER GUIDE DRAFT

Pearson BTEC Level 3 National Extended Diploma in Business (601/7160/1)

Financial ratios

Unit 3: Personal and Business Finance
F3 Profitability ratios; F4 Liquidity ratios; F5 Efficiency ratios



A revision lesson. Pupils run a car dealership in firms of four and revise financial ratios on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same.

1 Current ratio

Round 1

Can they pay their bills?

Current ratio? Type the number before ":1".

Current assets	**£60,000**
Owed to suppliers	**£9,200**
Bank overdraft	**£5,800**

ANSWER

£4

£9,200 + £5,800 = £15,000;
£60,000 ÷ £15,000 = 4 : 1

Why: They hold £4 of assets for every £1 they owe soon.

2 Raise current ratio

Round 1

Your current ratio is 0.8.

Which two actions would raise it?

- **A** Buy computers on the overdraft
- **B** Sell an unused building for cash
- **C** Use cash to buy a new ramp
- **D** Pay suppliers with cash
- **E** Swap the overdraft for a 5-year loan

ANSWER

✓ Sell an unused building for cash
✓ Swap the overdraft for a 5-year loan

Why: Raise current assets or cut current liabilities, without the other moving.

3 Rank current ratio

Round 2

Three dealers: current assets and current liabilities.

Order by current ratio, lowest first?

- **A** £45,000 assets, £50,000 debts
- **B** £120,000 assets, £60,000 debts
- **C** £60,000 assets, £40,000 debts

ANSWER

1. **£45,000 assets, £50,000 debts**
2. **£60,000 assets, £40,000 debts**
3. **£120,000 assets, £60,000 debts**

Why: Ratios 0.9, 1.5 and 2.0.

Topic tasks

4 Profit margin

Round 2

Last year's accounts.

Profit margin, as a %?

Revenue	**£139,000**
Cost of sales	**£127,880**
Expenses	**£6,950**

ANSWER

3%

£139,000 − £127,880 − £6,950 = £4,170; ÷ £139,000 = 3%

Why: Profit for the year is what is left after cost of sales and expenses.

5 Low liquid ratio

Round 3

Your current ratio is 3.5, but your liquid capital ratio is 0.4.

What should you do, and why?

A Cut the inventory you hold

B Leave it as it is

ANSWER

✓ Cut the inventory you hold

Why: Most current assets are unsold inventory: cash is tied up in cars.

6 ROCE as a %

Round 3

Last year's accounts.

ROCE, as a %?

Profit for the year	**£10,920**
Total equity	**£109,200**
Non-current liabilities	**£27,300**

ANSWER

8%

£109,200 + £27,300 = £136,500; £10,920 ÷ £136,500 × 100 = 8%

Why: Every £1 of capital employed earned 8p of profit.

Final questions

Each pupil answers 6 final questions on financial ratios. They come from these 11 questions.

1 A service division has revenue of £800,000 and operating profit of £96,000. What is its operating profit margin?
✔ **12%**

2 A campaign produces £160,000 revenue and attributable gross profit of £56,000. What is its attributable gross profit margin?
✔ **35%**

3 A dealer earns £2,400,000 revenue and £144,000 profit for the year. What is net profit margin?
✔ **6%**

4 A dealer group has revenue of £2,400,000 and net profit of £168,000. What is its net profit margin?
✔ **7%**

5 A dealer has current assets of £180,000 and current liabilities of £225,000. What is its current ratio, and what does it show?
✔ **0.8 to 1: short-term debts exceed the assets to meet them**

6 A finance director says the dealer is “liquid enough to get through March”. What does liquidity measure?
✔ **Whether short-term debts can be met when due**

7 A dealer’s revenue is £900,000 and cost of sales £648,000. What is the gross profit margin?
✔ **28%**

8 A dealer group’s profit before interest and tax is £126,000 and its capital employed £1,050,000. What is return on capital employed?
✔ **12%**

9 A parts business has current assets of £300,000 and current liabilities of £240,000. What is its current ratio?
✔ **1.25:1**

10 A dealer’s current ratio falls from 1.6:1 to 0.9:1 over the year. What does this suggest?
✔ **It may struggle to pay short-term debts**

Final questions

11 A dealer’s revenue rises but its gross profit margin falls. Which is the most likely cause?

✔ **Cars were bought at higher prices than before**